TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Balance Sheet

(₹ crore)

	Note	As at December 31, 2025	As at March 31, 2025
ASSETS			
Non-current assets			
Property, plant and equipment	8(a)	8,150	8,346
Capital work-in-progress	8(a)	2,319	1,318
Right-of-use assets	7	8,831	7,601
Intangible assets	8(b)	231	878
Financial assets			
Investments	6(a)	4,835	3,999
Trade receivables			
Billed	6(b)	95	91
Unbilled		163	44
Loans	6(e)	752	2
Other financial assets	6(f)	1,171	657
Deferred tax assets (net)	14	3,055	2,658
Income tax assets (net)		822	1,131
Other assets	8(c)	1,216	2,900
Total non-current assets		**31,640**	**29,625**
Current assets			
Inventories	8(d)	26	20
Financial assets			
Investments	6(a)	39,556	28,803
Trade receivables			
Billed	6(b)	49,721	44,392
Unbilled		7,594	7,375
Cash and cash equivalents	6(c)	2,835	2,610
Other balances with banks	6(d)	5,440	4,542
Loans	6(e)	52	42
Other financial assets	6(f)	1,913	2,455
Income tax assets (net)		196	226
Other assets	8(c)	13,471	12,698
Total current assets		**1,20,804**	**1,03,163**
TOTAL ASSETS		**1,52,444**	**1,32,788**
EQUITY AND LIABILITIES			
Equity			
Share capital	6(l)	362	362
Other equity		90,837	75,255
Total equity		**91,199**	**75,617**
Liabilities			
Non-current liabilities			
Financial liabilities			
Lease liabilities		7,735	6,486
Other financial liabilities	6(g)	505	626
Employee benefit obligations	11	353	186
Deferred tax liabilities (net)	14	288	202
Unearned and deferred revenue		490	489
Total non-current liabilities		**9,371**	**7,989**
Current liabilities			
Financial liabilities			
Lease liabilities		1,252	1,091
Trade payables			
Dues of small enterprises and micro enterprises		127	156
Dues of creditors other than small enterprises and micro enterprises		17,988	17,327
Other financial liabilities	6(g)	7,242	6,551
Unearned and deferred revenue		3,433	3,377
Other liabilities	8(e)	4,360	5,110
Provisions	8(f)	1,090	92
Employee benefit obligations	11	4,147	3,621
Income tax liabilities (net)		12,235	11,857
Total current liabilities		**51,874**	**49,182**
TOTAL EQUITY AND LIABILITIES		**1,52,444**	**1,32,788**

NOTES FORMING PART OF STANDALONE INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director - President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

Samir Seksaria
CFO

Mumbai, January 12, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED

Standalone Interim Statement of Profit and Loss

(₹ crore)

	Note	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Revenue from operations	9	55,567	53,883	162,886	1,60,717
Other income	10	2,049	2,118	6,520	7,720
TOTAL INCOME		**57,616**	**56,001**	**169,406**	**1,68,437**
Expenses					
Employee benefit expenses	11	27,842	26,613	83,512	80,085
Cost of equipment and software licences	12(a)	960	3,463	2,358	8,699
Finance costs	13	512	211	886	502
Depreciation and amortisation expense		1,102	1,125	3,344	3,102
Other expenses	12(b)	11,071	9,080	30,897	28,073
TOTAL EXPENSES		**41,487**	**40,492**	**120,997**	**1,20,461**
PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX		**16,129**	**15,509**	**48,409**	**47,976**
Exceptional items					
Re-structuring expenses	19	79	-	929	-
Statutory impact of new Labour Codes	20	2,128	-	2,128	-
Provision towards legal claim	17	1,010	-	1,010	-
PROFIT BEFORE TAX		**12,912**	**15,509**	**44,342**	**47,976**
Tax expense					
Current tax	14	2,903	3,638	10,000	11,049
Deferred tax	14	(181)	39	(228)	(14)
TOTAL TAX EXPENSE		**2,722**	**3,677**	**9,772**	**11,035**
PROFIT FOR THE PERIOD		**10,190**	**11,832**	**34,570**	**36,941**
OTHER COMPREHENSIVE INCOME (OCI)					
Items that will not be reclassified subsequently to profit or loss					
Remeasurement of defined employee benefit plans		95	21	96	(29)
Income tax on items that will not be reclassified subsequently to profit or loss		(24)	(6)	(24)	7
Items that will be reclassified subsequently to profit or loss					
Net change in fair values of investments other than equity shares carried at fair value through OCI		(164)	(134)	(311)	312
Net change in intrinsic value of derivatives designated as cash flow hedges		-	29	(11)	19
Net change in time value of derivatives designated as cash flow hedges		15	22	(7)	-
Income tax on items that will be reclassified subsequently to profit or loss		38	20	83	(83)
TOTAL OTHER COMPREHENSIVE INCOME / (LOSSES)		**(40)**	**(48)**	**(174)**	**226**
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD		**10,150**	**11,784**	**34,396**	**37,167**
Earnings per equity share:- Basic and diluted (₹)	15	28.16	32.71	95.55	102.11
Weighted average number of equity shares		361,80,87,518	361,80,87,518	361,80,87,518	361,80,87,518

NOTES FORMING PART OF STANDALONE INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

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CEO and Managing Director
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Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

Samir Seksaria
CFO

Mumbai, January 12, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED

Standalone Interim Statement of Changes in Equity

A. EQUITY SHARE CAPITAL

(₹ crore)

Balance as at April 1, 2025	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2025	Changes in equity share capital during the period	Balance as at December 31, 2025
362	-	362	-	362

(₹ crore)

Balance as at April 1, 2024	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2024	Changes in equity share capital during the period	Balance as at December 31, 2024
362	-	362	-	362

TATA CONSULTANCY SERVICES LIMITED

Standalone Interim Statement of Changes in Equity

B. OTHER EQUITY

(₹ crore)

	Reserves and surplus				Items of other comprehensive income			Total equity
	Capital reserve*	Capital redemption reserve	Special Economic Zone re-investment reserve	Retained earnings	Investment revaluation reserve	Cash flow hedging reserve		
						Intrinsic value	Time value	
Balance as at April 1, 2025	**-**	**21**	**1,085**	**73,380**	**784**	**9**	**(24)**	**75,255**
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2025	**-**	**21**	**1,085**	**73,380**	**784**	**9**	**(24)**	**75,255**
Profit for the period	-	-	-	34,570	-	-	-	34,570
Other comprehensive income / (losses)	-	-	-	72	(233)	(8)	(5)	(174)
Total comprehensive income	**-**	**-**	**-**	**34,642**	**(233)**	**(8)**	**(5)**	**34,396**
Dividend	-	-	-	(18,814)	-	-	-	(18,814)
Transfer from Special Economic Zone re-investment reserve	-	-	(1,085)	1,085	-	-	-	-
Balance as at December 31, 2025	**-**	**21**	**-**	**90,293**	**551**	**1**	**(29)**	**90,837**
Balance as at April 1, 2024	**-**	**21**	**16,234**	**55,173**	**339**	**9**	**(18)**	**71,758**
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2024	**-**	**21**	**16,234**	**55,173**	**339**	**9**	**(18)**	**71,758**
Profit for the period	-	-	-	36,941	-	-	-	36,941
Other comprehensive income / (losses)	-	-	-	(22)	234	13	1	226
Total comprehensive income	**-**	**-**	**-**	**36,919**	**234**	**13**	**1**	**37,167**
Dividend	-	-	-	(17,367)	-	-	-	(17,367)
Transfer from Special Economic Zone re-investment reserve	-	-	(9,775)	9,775	-	-	-	-
Balance as at December 31, 2024	**-**	**21**	**6,459**	**84,500**	**573**	**22**	**(17)**	**91,558**

*Represents value less than ₹0.50 crore.

Gain of ₹72 crore and loss of ₹22 crore on remeasurement of defined employee benefit plans (net of tax) is recognised as a part of retained earnings for nine months ended December 31, 2025 and 2024, respectively.

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Changes in Equity

Nature and purpose of reserves

(a) Capital reserve

The Company recognises profit and loss on purchase, sale, issue or cancellation of the Company's own equity instruments to capital reserve.

(b) Capital redemption reserve

As per Companies Act, 2013, capital redemption reserve is created when company purchases its own shares out of free reserves or securities premium. A sum equal to the nominal value of the shares so purchased is transferred to capital redemption reserve. The reserve is utilised in accordance with the provisions of section 69 of the Companies Act, 2013.

(c) Special Economic Zone re-investment reserve

The Special Economic Zone (SEZ) re-investment reserve is created out of the profit of eligible SEZ units in terms of the provisions of section 10AA(1)(ii) of the Income-tax Act, 1961. The reserve will be utilised by the Company for acquiring new assets for the purpose of its business as per the terms of section 10AA(2) of Income-tax Act, 1961.

(d) Retained earnings

This reserve represents undistributed accumulated earnings of the Company as on the balance sheet date.

(e) Investment revaluation reserve

This reserve represents the cumulative gains and losses arising on the revaluation of equity and debt instruments on the balance sheet date measured at fair value through other comprehensive income. The reserves accumulated will be reclassified to retained earnings and statement of profit and loss respectively, when such instruments are disposed.

(f) Cash flow hedging reserve

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. Such gains or losses will be reclassified to statement of profit and loss in the period in which the underlying hedged transaction occurs.

NOTES FORMING PART OF STANDALONE INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director - President and COO
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, January 12, 2026

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Cash Flows

(₹ crore)

	Nine months ended December 31, 2025	Nine months ended December 31, 2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit for the period	34,570	36,941
Adjustments for:		
Depreciation and amortisation expense	3,344	3,102
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	103	75
Provision towards legal claim (Refer note 17)	1,010	-
Tax expense	9,772	11,035
Net gain on lease modification	(11)	(10)
Net gain on sub-lease	(2)	-
Unrealised foreign exchange gain	(114)	(11)
Net gain on disposal of property, plant and equipment	(15)	(12)
Net gain on disposal / fair valuation of investments	(357)	(158)
Net gain on fair valuation of call option	(43)	-
Interest income	(2,651)	(2,205)
Dividend income (including exchange impact)	(3,254)	(5,175)
Finance costs	886	502
Operating profit before working capital changes	**43,238**	**44,084**
Net change in		
Inventories	(6)	2
Trade receivables		
Billed	(5,424)	(7,554)
Unbilled	(338)	467
Loans and other financial assets	431	(425)
Other assets	865	(2,216)
Trade payables	632	2,054
Unearned and deferred revenue	57	665
Other financial liabilities	907	31
Other liabilities and provisions	27	591
Cash flows generated from operations	**40,389**	**37,699**
Taxes paid (net of refunds)	(8,631)	(10,165)
Net cash flows generated from operating activities	**31,758**	**27,534**
CASH FLOWS FROM INVESTING ACTIVITIES		
Bank deposits placed	(2,880)	(4,363)
Inter-corporate deposits placed	(761)	-
Purchase of investments	(89,679)	(92,923)
Payment for purchase of property, plant and equipment	(2,120)	(1,796)
Payment including advances for acquiring right-of-use assets	(58)	(87)
Payment for purchase of intangible assets	(340)	(140)
Acquisition of subsidiaries (Refer note 6(a))	(1,112)	-
Advance towards acquisition of investment	(250)	-
Investment in a subsidiary (Refer note 6(a))	(226)	-
Proceeds from bank deposits	1,980	-
Proceeds from disposal / redemption of investments	78,986	83,858
Proceeds from sub-lease receivable	6	13
Proceeds from disposal of property, plant and equipment	15	13
Interest received	1,801	1,900
Dividend received from subsidiaries	3,254	5,175
Net cash flows used in investing activities	**(11,384)**	**(8,350)**

TATA CONSULTANCY SERVICES LIMITED
Standalone Interim Statement of Cash Flows

(₹ crore)

	Nine months ended December 31, 2025	Nine months ended December 31, 2024
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayment of lease liabilities[1]	(943)	(862)
Interest paid	(579)	(484)
Dividend paid	(18,814)	(17,367)
Net cash flows used in financing activities	**(20,336)**	**(18,713)**
Net change in cash and cash equivalents	**38**	**471**
Cash and cash equivalents at the beginning of the period	2,610	3,644
Exchange difference on translation of foreign currency cash and cash equivalents	187	26
Cash and cash equivalents at the end of the period	**2,835**	**4,141**
Components of cash and cash equivalents		
Balances with banks		
In current accounts	1,073	876
In deposit accounts	1,761	3,261
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	1	4
	2,835	**4,141**

*Represents value less than ₹0.50 crore.

[1] Changes in lease liabilities including both changes arising from cash flows and non-cash changes are given in note 7.

NOTES FORMING PART OF STANDALONE INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
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Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

Samir Seksaria
CFO

Mumbai, January 12, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

1) Corporate information

Tata Consultancy Services Limited (referred to as "TCS Limited" or "the Company") provides IT services, consulting and business solutions and has been partnering with many of the world's largest businesses in their transformation journeys. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions. This is delivered through its unique Location-Independent Agile delivery model recognised as a benchmark of excellence in software development.

The Company is a public limited company incorporated and domiciled in India. The address of its corporate office is TCS House, Raveline Street, Fort, Mumbai - 400001. As at December 31, 2025, Tata Sons Private Limited, the holding company owned 71.74% of the Company's equity share capital.

The Board of Directors approved the standalone interim financial statements for nine months ended December 31, 2025 and authorised for issue on January 12, 2026.

2) Statement of compliance

These standalone interim financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS), including the requirements of Ind AS 34 - Interim Financial Reporting, as prescribed under section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules as amended from time to time.

3) Basis of preparation

These standalone interim financial statements have been prepared on historical cost basis except for certain financial instruments and defined benefit plans which are measured at fair value or amortised cost at the end of each reporting period. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle. Based on the nature of services rendered to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents of the consideration for such services rendered, the Company has considered an operating cycle of 12 months.

The statement of cash flows has been prepared under indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. The Company considers all highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

These standalone interim financial statements have been prepared in Indian Rupee (₹) which is the functional currency of the Company. Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are retranslated at the exchange rate prevailing on the balance sheet dates and exchange gains and losses arising on settlement and restatement are recognised in the statement of profit and loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated.

The material accounting policy information related to preparation of the standalone interim financial statements have been discussed in the respective notes.

4) Use of estimates and judgements

The preparation of standalone interim financial statements in conformity with the recognition and measurement principles of Ind AS requires management of the Company to make estimates and judgements that affect the reported balances of assets and liabilities, disclosures of contingent liabilities as at the date of standalone interim financial statements and the reported amounts of income and expenses for the periods presented.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

The Company uses the following critical accounting judgements, estimates and assumptions in preparation of its standalone interim financial statements:

(a) Revenue recognition

Revenue for fixed-price contracts is recognised using percentage-of-completion method. The Company estimates the future cost-to-completion of the contracts which is used to determine degree of completion of the performance obligation.

The Company exercises judgement for identification of performance obligations, determination of transaction price, ascribing the transaction price to each distinct performance obligation and in determining whether the performance obligation is satisfied at a point in time or over a period of time. These judgements have been explained in detail under the revenue recognition note (Refer note 9).

(b) Useful lives of property, plant and equipment

The Company reviews the useful life of property, plant and equipment at the end of each reporting period. This reassessment may result in change in depreciation expense in future periods (Refer note 8(a)).

(c) Impairment of investments in subsidiaries

The Company reviews its carrying value of investments carried at cost (net of impairment, if any) annually, or more frequently when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for in the statement of profit and loss.

(d) Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

(e) Impairment of financial assets (other than at fair value)

Measurement of impairment of financial assets require use of estimates, which have been explained in the note on financial assets, financial liabilities and equity instruments, under impairment of financial assets (other than at fair value) (Refer note 6).

(f) Deferred tax assets

A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised. Accordingly, the Company exercises its judgement to reassess the carrying amount of deferred tax assets at the end of each reporting period.

(g) Provisions and contingent liabilities

The Company estimates the provisions that have present obligations as a result of past events and it is probable that outflow of resources will be required to settle the obligations. These provisions are reviewed at the end of each reporting period and are adjusted to reflect the current best estimates.

The Company uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the standalone interim financial statements.

(h) Employee benefits

The accounting of employee benefit plans in the nature of defined benefit requires the Company to use assumptions. These assumptions have been explained under employee benefits note (Refer note 11).

(i) Leases

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

The Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease.

The discount rate is generally based on the incremental borrowing rate specific to the lease being evaluated or for a portfolio of leases with similar characteristics.

5) Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. April 1, 2025. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f. April 1, 2025 – The amendment relates to classification of liabilities as current or non-current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Company has no impact of these amendments in its classification criteria of current and non-current liabilities.
2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments: Disclosures, applicable w.e.f. April 1, 2025 – The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.
3. Ind AS 12, International Tax Reform – Pillar Two Model Rules applicable immediately - The amendments provide a temporary mandatory relief from deferred tax accounting for top-up tax and require companies to disclose that they have applied the relief. This relief is immediate and applies retrospectively. The amendments also require companies to provide new disclosures to compensate for potential loss of information resulting from the relief. Such disclosures are to be provided for annual reporting periods beginning on or after April 1, 2025. The Company has applied the mandatory relief and will evaluate the new disclosure requirement relating to annual financial statements, as appropriate and disclose accordingly.

6) Financial assets, financial liabilities and equity instruments

Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired.

Cash and cash equivalents

The Company considers all highly liquid investments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value, to be cash equivalents. Cash and cash equivalents consist of balances with banks and which are unrestricted for withdrawal and usage.

Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

Financial assets are measured at fair value through other comprehensive income if these financial assets are held within a business whose objective is achieved by both collecting contractual cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding and selling financial assets.

The Company has made an irrevocable election to present subsequent changes in the fair value of equity investments not held for trading in other comprehensive income.

Financial assets at fair value through profit or loss

Financial assets are measured at fair value through profit or loss unless they are measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

Investment in subsidiaries

Investment in subsidiaries are measured at cost less impairment loss, if any.

Financial liabilities

Financial liabilities are measured at amortised cost using the effective interest method except for deferred consideration recognised in a business combination which is subsequently measured at fair value through profit and loss.

Equity instruments

An equity instrument is a contract that evidences residual interest in the assets of the company after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received net of direct issue cost.

Derivative accounting

- **Instruments in hedging relationship**

  The Company designates certain foreign exchange forward, currency options and futures contracts as hedge instruments in respect of foreign exchange risks. These hedges are accounted for as cash flow hedges.

  The Company uses hedging instruments that are governed by the financial risk management policy as approved by the Risk Management Committee. The policy provides principles on the use of such financial derivatives consistent with the risk management strategy of the Company. While determining the appropriate hedge ratio, the Company takes into consideration the prevailing macro-economic conditions, the availability and liquidity of the hedging instruments, tolerance levels for hedge ineffectiveness and the costs of hedging. The hedging activities are reviewed by the Risk Management Committee every quarter and future course of action is determined.

  The hedge instruments are designated and documented as hedges at the inception of the contract. The Company determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at inception and on an ongoing basis. If the hedged future cash flows are no longer expected to occur, then the

amounts that have been accumulated in other equity are immediately reclassified in net foreign exchange gains in the statement of profit and loss.

The effective portion of change in the fair value of the designated hedging instrument is recognised in the other comprehensive income and accumulated under the heading cash flow hedging reserve.

The Company separates the intrinsic value and time value of an option and designates as hedging instruments only the change in intrinsic value of the option. The change in fair value of the intrinsic value and time value of an option is recognised in the other comprehensive income and accounted as a separate component of equity. Such amounts are reclassified into the statement of profit and loss when the related hedged items affect profit and loss.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income and accumulated in equity till that time remains and is recognised in the statement of profit and loss when the forecasted transaction ultimately affects profit and loss. Any gain or loss is recognised immediately in the statement of profit and loss when the hedge becomes ineffective.

- **Instruments not in hedging relationship**

  The Company enters into contracts that are effective as hedges from an economic perspective, but they do not qualify for hedge accounting. The change in the fair value of such instrument is recognised in the statement of profit and loss.

Impairment of financial assets (other than at fair value)

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowance for expected credit losses, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments

Investments consist of the following:

Investments – Non-current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Investment in subsidiaries		
Fully paid equity shares (unquoted)	3,041	2,423
Optionally redeemable convertible debentures (unquoted)	1,576	1,576
Compulsorily convertible preference shares (unquoted)	218	-
Investments designated at fair value through OCI		
Fully paid equity shares (unquoted)		
Taj Air Limited	19	19
Less: Impairment in value of investments	(19)	(19)
	4,835	**3,999**

Investments – Current

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	9,475	1,030
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	23,426	23,844
Corporate bonds and debentures (quoted)	4,958	3,929
Investments carried at amortised cost		
Certificate of deposits (quoted)	724	-
Commercial papers (quoted)	973	-
	39,556	**28,803**

Government bonds and securities includes bonds pledged with bank for credit facility amounting to ₹2,700 crore and ₹2,700 crore as at December 31, 2025 and March 31, 2025, respectively.

Aggregate value of quoted and unquoted investments is as follows:

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Aggregate value of quoted investments	39,556	28,803
Aggregate value of unquoted investments (net of impairment)	4,835	3,999
Aggregate market value of quoted investments	39,556	28,803
Aggregate value of impairment of investments	19	19

Market value of quoted investments carried at amortised cost is as follows:

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Certificate of deposits	724	-
Commercial papers	973	-

Carrying value of investment in equity instruments is as follows:

(₹ crore)

In numbers	Currency	Face value per share	Investment in subsidiaries	As at December 31, 2025	As at March 31, 2025
			Fully paid equity shares (unquoted)		
212,27,83,424	UYU	1	TCS Iberoamerica S.A.	461	461
15,75,300	INR	10	APTOnline Limited	-	-
1,300	EUR	-	Tata Consultancy Services Belgium	1	1
66,000	EUR	1,000	Tata Consultancy Services Netherlands B.V.	403	403
1,000	SEK	100	Tata Consultancy Services Sverige Aktiebolag	19	19
1	EUR	-	Tata Consultancy Services Deutschland GmbH	2	2
20,000	USD	10	Tata America International Corporation	453	453
75,82,820	SGD	1	Tata Consultancy Services Asia Pacific Pte. Ltd.	19	19
3,72,58,815	AUD	1	TCS FNS Pty Limited	212	212
10,00,001	GBP	1	Diligenta Limited	429	429
1,000	USD	-	Tata Consultancy Services Canada Inc.	-*	-*
100	CAD	70,653.61	Tata Consultancy Services Canada Inc.	31	31
51,00,000	INR	10	C-Edge Technologies Limited	5	5
8,90,000	INR	10	MP Online Limited	1	1
1,40,00,000	ZAR	1	Tata Consultancy Services (Africa) (Proprietary) Limited	66	66
18,89,005	INR	10	MahaOnline Limited	2	2
-	QAR	-	Tata Consultancy Services Qatar	2	2
10,00,000	INR	100	TCS e-Serve International Limited	10	10
1,00,500	GBP	0.00001	Tata Consultancy Services UK Limited	66	66
2,50,00,000	EUR	1	Tata Consultancy Services Ireland Limited	224	224
10,00,000	INR	10	TCS Foundation	-	-
17,56,500	INR	10	TRIL Bengaluru Real Estate Five Limited[1]	3	3
93,34,600	INR	10	TRIL Bengaluru Real Estate Six Limited[1]	14	14
-	USD	-	ListEngage Midco, LLC[2]	610	-
75,00,000	INR	10	HyperVault AI Data Center Limited[3]	8	-
			Optionally redeemable convertible debentures (unquoted)		
16,48,90,800	INR	10	TRIL Bengaluru Real Estate Five Limited[1]	249	249
87,67,24,500	INR	10	TRIL Bengaluru Real Estate Six Limited[1]	1,327	1,327
			Compulsorily convertible preference shares (unquoted)		
2,00,00,000	INR	100	HyperVault AI Data Center Limited[3]	218	-
				4,835	**3,999**

Equity instruments designated at fair value through OCI are as follows:

(₹ crore)

In numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at December 31, 2025	As at March 31, 2025
			Fully paid equity shares (unquoted)		
1,90,00,000	INR	10	Taj Air Limited	19	19
			Less : Impairment in value of investments	(19)	(19)
				-	**-**

*Represents value less than ₹0.50 crore.

Notes:

1. On January 29, 2025, the Share Purchase and Securities Purchase Agreement (SSPA) was executed between Tata Consultancy Services Limited (Company), Tata Realty and Infrastructure Limited (TRIL), TRIL Bengaluru Real Estate Five Limited (TBRF) and TRIL

Bengaluru Real Estate Six Limited (TBRS) for acquisition of 100% equity shares and optionally redeemable convertible debentures of TBRF and TBRS held by TRIL, in two tranches at a consideration of ₹1,593 crore.

On April 30, 2025, the Company paid ₹554 crore towards consideration for remaining 35% stake aggregating to:

- 6,14,775 equity shares and 5,77,11,780 optionally redeemable convertible debentures in TBRF
- 32,67,110 equity shares and 30,68,53,575 optionally redeemable convertible debentures in TBRS

2. On October 10, 2025, the Company acquired 100% ownership interest of ListEngage Midco, LLC along with its subsidiary ListEngage LLC, limited liability companies in Delaware and leading Salesforce summit partner, for a consideration of $69 million (₹610 crore). The consideration includes $4 million (₹40 crore), the payment of which is contingent upon achievement of certain key performance indicators as set out in the agreement to be achieved over a period of two years and the fair value of which is $4 million (₹38 crore) on initial recognition.

3. The Company incorporated a wholly owned subsidiary, HyperVault AI Data Center Limited (HADL) on October 29, 2025. On November 20, 2025, the Securities Subscription Agreement (SSA) and Shareholders' Agreement (SHA) have been executed between the Company, TPG Terabyte Bidco Pte. Ltd. (TPG) and HADL to support the growth of Company's AI data center business. HADL will be funded through a mix of equity from the Company and TPG, and debt. The Company and TPG have committed to collectively invest up to ₹18,000 crore over the next few years. Out of the total commitment of up to ₹18,000 crore, the Company will invest up to ₹9,180 crores and TPG will invest up to ₹8,820 crore. It is envisaged that TPG will have final shareholding between 27.5% and 49% in HADL. As on December 31, 2025, the Company holds 100% stake in equity shares and compulsorily convertible preference shares of HADL.

4. The Company has signed a definitive agreement to acquire 100% stake in Coastal Cloud Holdings, LLC along with its subsidiaries ("Coastal Cloud"), a leading Salesforce Summit partner that specializes in Salesforce Consulting for an all cash consideration of $700 million (equivalent to ₹6,294 crore). The Company, through ListEngage Midco, LLC, a wholly owned subsidiary of the Company in U.S.A. will acquire Coastal Cloud.

The movement in fair value of investments carried / designated at fair value through OCI is as follows:

		(₹ crore)
	Nine months ended December 31, 2025	**Year ended March 31, 2025**
Balance at the beginning of the period	**784**	**339**
Net gain / (loss) arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(161)	603
Deferred tax relating to net gain / (loss) arising on revaluation of investments other than equities carried at fair value through other comprehensive income	41	(152)
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(150)	(10)
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	37	4
Balance at the end of the period	**551**	**784**

(b) Trade receivables - Billed

Trade receivables - Billed (unsecured) consist of the following:

Trade receivables - Billed – Non-current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Trade receivables - Billed	812	784
Less: Allowance for expected credit losses	(717)	(693)
Considered good	**95**	**91**

Trade receivables - Billed – Current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Trade receivables - Billed	49,887	44,591
Less: Allowance for expected credit losses	(307)	(279)
Considered good	**49,580**	**44,312**
Trade receivables - Billed	369	259
Less: Allowance for expected credit losses	(228)	(179)
Credit impaired	**141**	**80**
	49,721	**44,392**

Above balances of trade receivables – billed include balances with related parties (Refer note 18).

(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Balances with banks		
In current accounts	1,073	1,890
In deposit accounts	1,761	712
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	1	8
	2,835	**2,610**

*Represents value less than ₹0.50 crore.

(d) Other balances with banks

Other balances with banks consist of the following:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Earmarked balances with banks	260	862
Short-term bank deposits	5,180	3,680
	5,440	**4,542**

Earmarked balances with banks primarily relate to margin money for purchase of investments and unclaimed dividends.

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Considered good		
Inter-corporate deposits	750	-
Loans to employees	2	2
	752	**2**

Inter-corporate deposits yield fixed interest rate and are placed with financial institutions (related parties), who are authorised to accept and use such inter-corporate deposits as per regulations applicable to them.

Loans – Current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Considered good		
Inter-corporate deposits	47	36
Loans to employees	5	6
	52	**42**

Inter-corporate deposits, repayable on demand with fixed interest rate has been placed with subsidiaries.

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Security deposits	804	617
Long-term bank deposits	12	12
Interest receivable	29	1
Advance towards acquisition of investment	250	-
Fair value of call option	43	-
Others	33	27
	1,171	**657**

Other financial assets – Current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Security deposits	229	323
Fair value of foreign exchange derivative assets	177	390
Interest receivable	753	652
Advances to employees	262	240
Less: Allowance for advances to employees	(58)	(50)
Others	550	900
	1,913	**2,455**

(g) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Capital creditors	-	60
Liabilities towards customer contracts	226	316
Deferred consideration on acquisition of subsidiaries (Refer note 6(a))	18	-
Others	261	250
	505	**626**

Others include advance taxes paid of ₹226 crore and ₹226 crore as at December 31, 2025 and March 31, 2025, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities is payable to the seller.

Other financial liabilities – Current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Accrued payroll	4,731	3,728
Unclaimed dividends	59	60
Fair value of foreign exchange derivative liabilities	158	146
Capital creditors	577	660
Liabilities towards customer contracts	1,214	1,231
Liabilities towards acquisition of subsidiaries	17	557
Deferred consideration on acquisition of subsidiaries (Refer note 6(a))	20	-
Others	466	169
	7,242	**6,551**

(h) Financial instruments by category

The carrying value of financial instruments by categories as at December 31, 2025 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	2,835	2,835
Bank deposits	-	-	-	-	5,192	5,192
Earmarked balances with banks	-	-	-	-	260	260
Investments (other than in subsidiary)	9,475	28,384	-	-	1,697	39,556
Trade receivables						
Billed	-	-	-	-	49,816	49,816
Unbilled	-	-	-	-	7,757	7,757
Loans	-	-	-	-	804	804
Other financial assets	43	-	22	155	2,852	3,072
	9,518	**28,384**	**22**	**155**	**71,213**	**1,09,292**
Financial liabilities						
Trade payables	-	-	-	-	18,115	18,115
Lease liabilities	-	-	-	-	8,987	8,987
Other financial liabilities	38	-	-	158	7,551	7,747
	38	**-**	**-**	**158**	**34,653**	**34,849**

Loans include inter-corporate deposits of ₹797 crore with original maturity of maximum 24 months.

The carrying value of financial instruments by categories as at March 31, 2025 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	2,610	2,610
Bank deposits	-	-	-	-	3,692	3,692
Earmarked balances with banks	-	-	-	-	862	862
Investments (other than in subsidiary)	1,030	27,773	-	-	-	28,803
Trade receivables						
Billed	-	-	-	-	44,483	44,483
Unbilled	-	-	-	-	7,419	7,419
Loans	-	-	-	-	44	44
Other financial assets	-	-	33	357	2,710	3,100
	1,030	**27,773**	**33**	**357**	**61,820**	**91,013**
Financial liabilities						
Trade payables	-	-	-	-	17,483	17,483
Lease liabilities	-	-	-	-	7,577	7,577
Other financial liabilities	-	-	-	146	7,031	7,177
	-	**-**	**-**	**146**	**32,091**	**32,237**

Loans include inter-corporate deposits of ₹36 crore with original maturity of maximum 12 months.

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at December 31, 2025 and March 31, 2025, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required. Fair value of investments carried at amortised cost is ₹1,697 crore and NIL as at December 31, 2025 and March 31, 2025 respectively.

(i) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 – Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 – Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

				(₹ crore)
As at December 31, 2025	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial assets				
Mutual fund units	9,475	-	-	9,475
Equity shares	-	-	-	-
Government bonds and securities	23,426	-	-	23,426
Corporate bonds and debentures	4,958	-	-	4,958
Certificate of deposits	724	-	-	724
Commercial papers	973	-	-	973
Fair value of foreign exchange derivative assets	-	177	-	177
Fair value of call option	-	-	43	43
	39,556	**177**	**43**	**39,776**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	158	-	158
Other financial liabilities	-	-	38	38
	-	**158**	**38**	**196**

				(₹ crore)
As at March 31, 2025	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial assets				
Mutual fund units	1,030	-	-	1,030
Equity shares	-	-	-	-
Government bonds and securities	23,844	-	-	23,844
Corporate bonds and debentures	3,929	-	-	3,929
Fair value of foreign exchange derivative assets	-	390	-	390
	28,803	**390**	**-**	**29,193**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	146	-	146
	-	**146**	**-**	**146**

Reconciliation of Level 3 fair value measurement of financial assets is as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	-	-
Additions during the period	43	-
Balance at the end of the period	**43**	**-**

If the volatility increases / decreases by 1%, the fair value of call option would increase / (decrease) as follows:

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Increase of 1%	6	-
Decrease of 1%	(6)	-

If the risk free interest rate increases / decreases by 0.50%, the fair value of call option would increase / (decrease) as follows:

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Increase of 0.50%	2	-
Decrease of 0.50%	(2)	-

Following table describes the valuation techniques used and key inputs thereto for the level 3 financial assets:

Financial assets	Valuation technique	Significant unobservable input	Significant unobservable input range		Inter-relationship between significant unobservable input and fair value measurement
			As at December 31, 2025	As at March 31, 2025	
Call option	Black-Scholes Option Pricing Model	Volatility of the property price	20.00%	-	The estimated fair value of call option will Increase / (decrease) if the volatility of the property price is higher / (lower)
		Risk free interest rate	5.81%	-	The estimated fair value of call option will Increase / (decrease) if the risk free interest rate is higher / (lower)

Reconciliation of Level 3 fair value measurement of financial liabilities is as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	-	-
Additions during the period	38	-
Balance at the end of the period	**38**	**-**

The fair valuation is determined based on present value of deferred consideration and risk free discount rates using net present value method. There were no significant inter-relationship between unobservable inputs that materially affects fair value. If the risk free discount rate increases or decreases by 1%, the impact on the net present value will not be material.

(j) Derivative financial instruments and hedging activity

The Company's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Company to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Company which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Company uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counter party is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

	As at December 31, 2025			As at March 31, 2025		
Foreign currency	**No. of contracts**	**Notional amount of contracts (In million)**	**Fair value (₹ crore)**	**No. of contracts**	**Notional amount of contracts (In million)**	**Fair value (₹ crore)**
US Dollar	6	200	2	-	-	-
Great Britain Pound	24	230	11	23	220	18
Euro	25	240	9	25	235	15

The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

(₹ crore)

	Nine months ended December 31, 2025		Year ended March 31, 2025	
	Intrinsic value	**Time value**	**Intrinsic value**	**Time value**
Balance at the beginning of the period	**9**	**(24)**	**9**	**(18)**
(Gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	(15)	240	(193)	234
Deferred tax on (gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	4	(60)	48	(60)
Change in the fair value of effective portion of cash flow hedges	4	(247)	194	(243)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(1)	62	(49)	63
Balance at the end of the period	**1**	**(29)**	**9**	**(24)**

The Company has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at December 31, 2025 and March 31, 2025, the notional amount of outstanding contracts aggregated to ₹57,979 crore and ₹51,859 crore, respectively, and the respective fair value of these contracts have a net loss of ₹3 crore and net gain of ₹211 crore.

Exchange loss of ₹246 crore and gain of ₹280 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the standalone interim statement of profit and loss for three months ended December 31, 2025 and 2024, respectively.

Exchange loss of ₹1,670 crore and ₹293 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the standalone interim statement of profit and loss for nine months ended December 31, 2025 and 2024, respectively.

Net foreign exchange gain / (loss) include loss of ₹69 crore and gain of ₹67 crore transferred from cash flow hedging reserve to the standalone interim statement of profit and loss on occurrence of forecasted hedge transactions for three months ended December 31, 2025 and 2024, respectively.

Net foreign exchange gain / (loss) include loss of ₹225 crore and ₹14 crore transferred from cash flow hedging reserve to the standalone interim statement of profit and loss on occurrence of forecasted hedge transactions for nine months ended December 31, 2025 and 2024, respectively.

Net loss on derivative instruments of ₹28 crore recognised in cash flow hedging reserve as at December 31, 2025, is expected to be transferred to the statement of profit and loss by December 31, 2026. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2026.

Following table summarises approximate gain / (loss) on the Company's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
10% appreciation of the underlying foreign currencies	-	-
10% depreciation of the underlying foreign currencies	625	437

(k) Financial risk management

The Company is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Company has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Company.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Company's exposure to market risk is primarily on account of foreign currency exchange rate risk.

- **Foreign currency exchange rate risk**

The fluctuation in foreign currency exchange rates may have potential impact on the statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the Company. Considering the countries and economic environment in which the Company operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

The Company, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currency of the various operations of the Company against major foreign currencies may impact the Company's revenue in international business.

The Company evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the Company.

The following analysis has been worked out based on the net exposures of the Company as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Company as disclosed in note 6(j).

The following table sets forth information relating to unhedged foreign currency exposure as at December 31, 2025:

				(₹ crore)
	USD	**EUR**	**GBP**	**Others**
Net financial assets	6,248	308	459	2,402
Net financial liabilities	(12,262)	(755)	(1,618)	(969)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹619 crore for nine months ended December 31, 2025.

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2025:

				(₹ crore)
	USD	**EUR**	**GBP**	**Others**
Net financial assets	7,508	533	526	2,327
Net financial liabilities	(10,726)	(350)	(376)	(862)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹142 crore for the year ended March 31, 2025.

- **Interest rate risk**

The Company's investments are primarily in fixed rate interest bearing investments. Hence, the Company is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Refer note 4 for methods, assumptions and information used to measure expected credit losses.

Financial instruments that are subject to credit risk consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Loans include Inter-corporate deposits of ₹797 crore placed with subsidiaries and financial institutions as at December 31, 2025 and ₹36 crore placed with subsidiaries as at March 31, 2025. Bank deposits include an amount of ₹5,192 crore held with two banks and ₹3,692 crore held with two banks, having high credit rating which are individually in excess of 10% or more of the Company's total bank deposits as at December 31, 2025 and March 31, 2025, respectively. None of the other financial instruments of the Company result in material concentration of credit risk.

- **Exposure to credit risk**

The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹1,15,307 crore and ₹96,535 crore as at December 31, 2025 and March 31, 2025, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments excluding equity and preference investments, trade receivables, loans, contract assets and other financial assets.

The Company's exposure to customers is diversified. As at December 31, 2025, no customer held more than 10% of the outstanding of trade receivables and contract assets. As at March 31, 2025, no customer (except a single customer holding 10.28%) held more than 10% of the outstanding of trade receivables and contract assets.

- **Geographic concentration of credit risk**

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at December 31, 2025		**As at March 31, 2025**	
	Gross%	**Net%**	**Gross%**	**Net%**
United States of America	44.07	44.76	45.08	45.80
India	22.00	20.73	21.98	20.68
United Kingdom	14.32	14.55	15.62	15.88
Europe	10.04	10.24	7.40	7.55

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit losses on trade receivables for nine months ended December 31, 2025 and year ended March 31, 2025 was ₹91 crore and ₹62 crore, respectively. The reconciliation of allowance for expected credit losses is as follows:

		(₹ crore)
	Nine months ended December 31, 2025	**Year ended March 31, 2025**
Balance at the beginning of the period	**1,151**	**1,088**
Change during the period	91	62
Translation exchange difference	10	1
Balance at the end of the period	**1,252**	**1,151**

Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.
The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

					(₹ crore)
December 31, 2025	**Due in 1st year**	**Due in 2nd year**	**Due in 3rd to 5th year**	**Due after 5th year**	**Total**
Non-derivative financial liabilities					
Trade payables	18,115	-	-	-	18,115
Lease liabilities	1,871	1,661	4,022	4,518	12,072
Other financial liabilities	7,085	150	320	35	7,590
	27,071	**1,811**	**4,342**	**4,553**	**37,777**
Derivative financial liabilities	158	-	-	-	158
	27,229	**1,811**	**4,342**	**4,553**	**37,935**

					(₹ crore)
March 31, 2025	**Due in 1st year**	**Due in 2nd year**	**Due in 3rd to 5th year**	**Due after 5th year**	**Total**
Non-derivative financial liabilities					
Trade payables	17,483	-	-	-	17,483
Lease liabilities	1,602	1,401	3,255	4,019	10,277
Other financial liabilities	6,418	217	409	-	7,044
	25,503	**1,618**	**3,664**	**4,019**	**34,804**
Derivative financial liabilities	146	-	-	-	146
	25,649	**1,618**	**3,664**	**4,019**	**34,950**

(I) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Authorised		
460,05,00,000 equity shares of ₹1 each	460	460
(March 31, 2025: 460,05,00,000 equity shares of ₹1 each)		
105,02,50,000 preference shares of ₹1 each	105	105
(March 31, 2025: 105,02,50,000 preference shares of ₹1 each)		
	565	**565**
Issued, Subscribed and Fully paid up		
361,80,87,518 equity shares of ₹1 each	362	362
(March 31, 2025: 361,80,87,518 equity shares of ₹1 each)		
	362	**362**

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

I. Reconciliation of number of shares

	Nine months ended December 31, 2025		Year ended March 31, 2025	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**
Change during the period	-	-	-	-
Closing balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

III. Shares held by Holding Company, its Subsidiaries and Associates

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Equity shares		
Holding company		
259,54,99,419 equity shares (March 31, 2025: 259,54,99,419 equity shares) are held by Tata Sons Private Limited	260	260
Subsidiaries and Associates of Holding company		
7220 equity shares (March 31, 2025: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,04,425 equity shares (March 31, 2025: 10,04,425 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2025: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2025: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	260	**260**

*Equity shares having value less than ₹0.50 crore.

7) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Company recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate. For leases with reasonably similar characteristics, the Company, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Company is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Company recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the

right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in statement of profit and loss.

The Company has elected not to apply the requirements of Ind AS 116 - Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Company as a lessor

At the inception of the lease the Company classifies each of its leases as either an operating lease or a finance lease. The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Company is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Company applies Ind AS 115 - Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Company is as follows:

(₹ crore)

	Additions for nine months ended December 31, 2025	Net carrying amount as at December 31, 2025
Leasehold land	-	909
Buildings	2,286	7,685
Leasehold improvements	20	51
Computer equipment	102	174
Software licences	-	9
Vehicles	1	2
Furniture and fixtures	-	1
	2,409	**8,831**

(₹ crore)

	Additions for the year ended March 31, 2025	Net carrying amount as at March 31, 2025
Leasehold land	-	917
Buildings	2,736	6,494
Leasehold improvements	41	38
Computer equipment	-	117
Software licences	-	31
Vehicles	1	2
Furniture and fixtures	-	2
	2,778	**7,601**

Depreciation on right-of-use assets is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Leasehold land	2	3	8	9
Buildings	352#	310	1062#	900
Leasehold improvements	4	2	7	3
Computer equipment	16	8	37	26
Software licences	7	7	22	22
Vehicles	1	-*	1	-*
Furniture and fixtures	1	-*	1	-*
	383	**330**	**1,138**	**960**

#Out of this, directly attributable costs of ₹40 crore and ₹113 crore towards leasehold improvements have been transferred to capital work-in-progress for three months and nine months ended December 31, 2025, respectively.

*Represents value less than ₹0.50 crore.

Changes in lease liabilities are as follows:

(₹ crore)

	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Balance as at beginning of the period	**7,577**	**6,145**
Additions during the period	2,284	2,353
Repayment of lease liabilities during the period	(943)	(862)
Other non-cash movements	(7)	(35)
Translation exchange difference	76	17
Balance as at end of the period	**8,987**	**7,618**

Interest on lease liabilities is ₹167 crore and ₹143 crore for three months ended December 31, 2025 and 2024, respectively.

Interest on lease liabilities is ₹506 crore and ₹413 crore for nine months ended December 31, 2025 and 2024, respectively.

The Company incurred ₹82 crore and ₹44 crore for three months ended December 31, 2025 and 2024, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The Company incurred ₹207 crore and ₹142 crore for nine months ended December 31, 2025 and 2024, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹560 crore and ₹478 crore for three months ended December 31, 2025 and 2024, respectively, including cash outflow for short term leases and leases of low-value assets.

The total cash outflow for leases is ₹1,714 crore and ₹1,504 crore for nine months ended December 31, 2025 and 2024, respectively, including cash outflow for short term leases and leases of low-value assets.

The Company has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹1,016 crore and ₹943 crore as at December 31, 2025 and March 31, 2025, respectively.

Lease contracts entered by the Company majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Company does not have any lease restrictions and commitment towards variable rent as per the contract.

8) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

The Company recognises the cost of an item of property, plant and equipment as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can measured reliably.

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives as prescribed in Schedule II of the Companies Act, 2013 except in respect of certain categories of assets, where the useful life of the assets has been assessed based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years*
Leasehold improvements	Lease term
Plant and equipment	10 years*
Computer equipment	4 years*
Vehicles	4 years*
Office equipment	2-5 years*
Electrical installations	4-10 years*
Furniture and fixtures	5 years*

*The Company believes that the technically evaluated useful lives, different from Schedule II of the Companies Act, 2013, best represent the period over which these assets are expected to be used.

Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

The carrying amount of an item of property, plant and equipment shall be derecognised on disposal or when no future economic benefits are expected from its use or disposal.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

Property, plant and equipment consist of the following:

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2025	**323**	**8,629**	**1,993**	**979**	**11,901**	**51**	**2,791**	**2,104**	**1,833**	**30,604**
Additions	-	56	81	37	967	6	154	58	62	1,421
Disposals	-	(7)	(34)	-	(469)	(3)	(59)	(17)	(18)	(607)
Cost as at December 31, 2025	**323**	**8,678**	**2,040**	**1,016**	**12,399**	**54**	**2,886**	**2,145**	**1,877**	**31,418**
Accumulated depreciation as at April 1, 2025	**-**	**(4,489)**	**(1,499)**	**(614)**	**(9,942)**	**(37)**	**(2,433)**	**(1,684)**	**(1,560)**	**(22,258)**
Depreciation	-	(315)	(86)	(60)	(878)	(6)	(118)	(81)	(73)	(1,617)
Disposals	-	7	34	-	469	3	59	17	18	607
Accumulated depreciation as at December 31, 2025	**-**	**(4,797)**	**(1,551)**	**(674)**	**(10,351)**	**(40)**	**(2,492)**	**(1,748)**	**(1,615)**	**(23,268)**
Net carrying amount as at December 31, 2025	**323**	**3,881**	**489**	**342**	**2,048**	**14**	**394**	**397**	**262**	**8,150**
Capital work-in-progress										2,319
Total										**10,469**

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2024	**323**	**8,163**	**1,968**	**861**	**11,435**	**43**	**2,611**	**1,968**	**1,690**	**29,062**
Additions	-	467	46	118	1,085	11	225	149	153	2,254
Disposals	-	(1)	(21)	-	(619)	(3)	(45)	(13)	(10)	(712)
Cost as at March 31, 2025	**323**	**8,629**	**1,993**	**979**	**11,901**	**51**	**2,791**	**2,104**	**1,833**	**30,604**
Accumulated depreciation as at April 1, 2024	**-**	**(4,078)**	**(1,408)**	**(526)**	**(9,287)**	**(35)**	**(2,332)**	**(1,576)**	**(1,484)**	**(20,726)**
Depreciation	-	(412)	(112)	(88)	(1,271)	(5)	(146)	(121)	(86)	(2,241)
Disposals	-	1	21	-	616	3	45	13	10	709
Accumulated depreciation as at March 31, 2025	**-**	**(4,489)**	**(1,499)**	**(614)**	**(9,942)**	**(37)**	**(2,433)**	**(1,684)**	**(1,560)**	**(22,258)**
Net carrying amount as at March 31, 2025	**323**	**4,140**	**494**	**365**	**1,959**	**14**	**358**	**420**	**273**	**8,346**
Capital work-in-progress										1,318
Total										**9,664**

Capital work-in-progress

- **Changes in capital work-in-progress are as follows:**

		(₹ crore)
	Nine months ended December 31, 2025	**Year ended March 31, 2025**
Balance at the beginning of the period	**1,318**	**1,450**
Additions during the period	2,422	2,122
Capitalised during the period	(1,421)	(2,254)
Balance at the end of the period	**2,319**	**1,318**

(b) Intangible assets

Intangible assets purchased are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences which are amortised over licence period which equates the economic useful life ranging between 1-5 years on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Intangible assets consist of the following:

	(₹ crore)
	Rights under licensing agreement and software licences
Cost as at April 1, 2025	**2,774**
Additions	55
Disposals / Derecognised	(606)
Cost as at December 31, 2025	**2,223**
Accumulated amortisation as at April 1, 2025	**(1,896)**
Amortisation	(702)
Disposals / Derecognised	606
Accumulated amortisation as at December 31, 2025	**(1,992)**
Net carrying amount as at December 31, 2025	**231**

	(₹ crore)
	Rights under licensing agreement and software licences
Cost as at April 1, 2024	**1,818**
Additions	1,114
Disposals / Derecognised	(158)
Cost as at March 31, 2025	**2,774**
Accumulated amortisation as at April 1, 2024	**(1,355)**
Amortisation	(699)
Disposals / Derecognised	158
Accumulated amortisation as at March 31, 2025	**(1,896)**
Net carrying amount as at March 31, 2025	**878**

The estimated amortisation for the periods subsequent to December 31, 2025 is as follows:

	(₹ crore)
Period ending December 31,	**Amortisation expense**
2026	113
2027	70
2028	33
2029	15
	231

(c) Other assets

Other assets consist of the following:

Other assets – Non-current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Considered good		
Capital advances	228	180
Advances to related parties	131	226
Contract assets	343	171
Prepaid expenses	243	2,013
Contract fulfillment costs	91	132
Others	180	178
	1,216	**2,900**
Advances to related parties, considered good, comprise:		
Tata Realty and Infrastructure Limited	-	-*
Tata Projects Limited	126	224
Titan Engineering and Automation Limited	2	2
Universal MEP Projects & Engineering Services Limited	3	-*

*Represents value less than ₹0.50 crore.

Other assets – Current

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Considered good		
Advance to suppliers	212	152
Advance to related parties	1,571	1,560
Contract assets	5,672	5,351
Prepaid expenses	2,138	2,136
Contract fulfillment costs	1,737	1,557
Indirect taxes recoverable	1,813	1,700
Others	328	242
Considered doubtful		
Advance to suppliers	2	2
Other advances	2	2
Less: Allowance for doubtful assets	(4)	(4)
	13,471	**12,698**
Advance to related parties, considered good comprise:		
Tata AIG General Insurance Company Limited	13	1
Titan Company Limited	7	1
Tejas Networks Limited	1,432	1,460
Tata Consultancy Services Deutschland GmbH	21	18
Tata Consultancy Services De Mexico, S.A. De C.V.	6	5
Tata Consultancy Services (South Africa) (Proprietary) Limited	1	1
Tata Consultancy Services Do Brasil Ltda.	3	2
Tata Consultancy Services Italia S.R.L.	1	1
Tata Consultancy Services Japan, Ltd.	10	7
TCS Financial Solutions Australia Pty Ltd	2	-
Tata America International Corporation	73	62
Tata Consultancy Services (China) Co., Ltd.	2	2

Non-current – Others includes advance of ₹177 crore and ₹177 crore towards acquiring right-of-use of leasehold land as at December 31, 2025 and March 31, 2025, respectively.

Contract fulfillment costs of ₹676 crore and ₹659 crore for nine months ended December 31, 2025 and year ended March 31, 2025 respectively, have been amortised in the standalone statement of profit and loss. Refer note 9 for the changes in contract assets.

(d) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Company includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Raw materials, sub-assemblies and components	23	19
Finished goods and work-in-progress	3	1
	26	**20**

(e) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Advance received from customers	1,394	1,815
Indirect taxes payable and other statutory liabilities	2,344	2,826
Others	622	469
	4,360	**5,110**

(f) Provisions

Provisions consist of the following:

Provisions – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Provision towards legal claim (Refer note 17)	1,010	-
Provision for foreseeable loss	80	91
Other provisions	-	1
	1,090	**92**

9) Revenue recognition

The Company earns revenue primarily from providing IT services, consulting and business solutions. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Company expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Company is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Company may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Company is acting as the principal or as an agent of the customer. The Company recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Company's contracts with customers could include promises to transfer multiple products and services to a customer. The Company assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of

distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer. The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Company allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Company exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Company considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Revenue from subsidiaries is recognised based on transaction price which is at arm's length.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue ("contract liability") is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Company recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Company reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Company disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Consultancy services	54,491	53,097	1,60,520	1,58,856
Sale of equipment and software licences	1,076	786	2,366	1,861
	55,567	**53,883**	**1,62,886**	**1,60,717**

Revenue disaggregation by industry vertical is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Banking, Financial Services and Insurance	20,362	18,472	59,967	55,157
Manufacturing	5,196	4,935	15,477	15,035
Consumer Business	9,100	8,768	26,817	26,321
Communication, Media and Technology	8,645	10,935	25,573	31,693
Life Sciences and Healthcare	6,321	5,779	18,223	18,055
Others	5,943	4,994	16,829	14,456
	55,567	**53,883**	**1,62,886**	**1,60,717**

Revenue disaggregation by geography is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Americas (1)	30,545	28,751	89,681	86,649
Europe (2)	16,022	14,527	47,488	44,279
India	3,962	6,125	11,095	16,209
Others	5,038	4,480	14,622	13,580
	55,567	**53,883**	**1,62,886**	**1,60,717**

Geographical revenue is allocated based on the location of the customers.

(1) includes revenue in the United States of America of ₹29,309 crore and ₹27,686 crore for three months ended December 31, 2025 and 2024, respectively.
(1) includes revenue in the United States of America of ₹86,074 crore and ₹83,462 crore for nine months ended December 31, 2025 and 2024, respectively.
(2) includes revenue in the United Kingdom of ₹9,946 crore and ₹9,384 crore for three months ended December 31, 2025 and 2024, respectively.
(2) includes revenue in the United Kingdom of ₹29,933 crore and ₹28,511 crore for nine months ended December 31, 2025 and 2024, respectively.

Information about major customers

No single customer represents 10% or more of the Company's total revenue during the three months and nine months ended December 31, 2025 and 2024, respectively.

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Company has applied the practical expedient in Ind AS 115. Accordingly, the Company has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹1,63,229 crore out of which 45.15% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Changes in contract assets are as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	**5,522**	**5,204**
Invoices raised that were included in the contract assets balance at the beginning of the period	(3,966)	(3,834)
Increase due to revenue recognised during the period, excluding amounts billed during the period	4,169	4,046
Translation exchange difference	290	106
Balance at the end of the period	**6,015**	**5,522**

Changes in unearned and deferred revenue are as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	**3,866**	**3,037**
Revenue recognised that was included in the contract liability balance at the beginning of the period	(3,586)	(2,779)
Increase due to invoicing during the period, excluding amounts recognised as revenue during the period	3,475	3,593
Translation exchange difference	168	15
Balance at the end of the period	**3,923**	**3,866**

Reconciliation of revenue recognised with the contracted price is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Contracted price	56,795	54,822	1,66,143	1,63,252
Reductions towards variable consideration components	(1,228)	(939)	(3,257)	(2,535)
Revenue recognised	**55,567**	**53,883**	**1,62,886**	**1,60,717**

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

10) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Interest income	709	846	2,651	2,205
Dividend from subsidiaries	1,115	1,058	3,256	5,174
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	75	66	207	157
Net gain on sale of investments other than equity shares carried at fair value through OCI	74	-	150	1
Net gain on disposal of property, plant and equipment	6	5	15	12
Net gain on lease modification	8	2	11	10
Net gain on sub-lease	2	-	2	-
Net foreign exchange gain / (loss)	29	125	(80)	105
Rent income	7	5	26	17
Awards from litigation	-	-	191	-
Net gain on fair valuation of call option	-	-	43	-
Other income	24	11	48	39
	2,049	**2,118**	**6,520**	**7,720**
Interest income comprise:				
Interest on bank balances and bank deposits	112	196	277	393
Interest on financial assets carried at amortised cost	55	80	128	162
Interest on financial assets carried at fair value through OCI	539	543	1,562	1,590
Other interest (including interest on tax refunds)	3	27	684	60

11) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Company provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Company provides benefits such as superannuation and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligations at the balance sheet date using the Projected Unit Credit Method.

Termination benefits

Termination benefits are expensed at the earlier of when the Company is obligated to pay those benefits and when the Company recognises costs for a restructuring.

Employee benefit expenses consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Salaries, incentives and allowances	25,040	24,034	75,086	72,125
Contributions to provident and other funds	1,992	1,881	6,009	5,684
Staff welfare expenses	810	698	2,417	2,276
	27,842	**26,613**	**83,512**	**80,085**

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Gratuity liability	160	-
Foreign defined benefit plans	40	34
Other employee benefit obligations	153	152
	353	**186**

Employee benefit obligations – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Compensated absences	4,104	3,581
Other employee benefit obligations	43	40
	4,147	**3,621**

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, the Company operates a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas branches of the Company also provide for retirement benefit plans in accordance with the local laws.

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

(₹ crore)

	Nine months ended December 31, 2025				Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in benefit obligations								
Benefit obligations, beginning of the period	**6,153**	**1**	**34**	**6,188**	**5,273**	**1**	**29**	**5,303**
Translation exchange difference	-	-	2	2	-	-	1	1
Changes due to inter-company transfers	1	-	-	1	-	-	-	-
Service cost	439	-	5	444	532	-	4	536
Interest cost	305	-	1	306	392	-	2	394
Remeasurement of the defined benefit obligations	(71)	-	4	(67)	318	-	3	321
Past service cost / (credit) (Refer note 20)	1,816	-	-	1,816	-	-	-	-
Benefits paid	(524)	-	(6)	(530)	(362)	-	(5)	(367)
Benefit obligations, end of the period	**8,119**	**1**	**40**	**8,160**	**6,153**	**1**	**34**	**6,188**

(₹ crore)

	Nine months ended December 31, 2025				Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in plan assets								
Fair value of plan assets, beginning of the period	**7,881**	**1**	**-**	**7,882**	**7,214**	**1**	**-**	**7,215**
Changes due to inter-company transfers	1	-	-	1	-	-	-	-
Interest income	389	-	-	389	527	-	-	527
Employers' contributions	183	-	-	183	361	-	-	361
Benefits paid	(524)	-	-	(524)	(362)	-	-	(362)
Remeasurement - return on plan assets excluding amount included in interest income	29	-	-	29	141	-	-	141
Fair value of plan assets, end of the period	**7,959**	**1**	**-**	**7,960**	**7,881**	**1**	**-**	**7,882**

(₹ crore)

	As at December 31, 2025				As at March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Funded status								
Deficit of plan assets over obligations	(160)	-	(40)	(200)	-	-	(34)	(34)
Surplus of plan assets over obligations	-	-	-	-	1,728	-	-	1,728
	(160)	**-**	**(40)**	**(200)**	**1,728**	**-**	**(34)**	**1,694**

(₹ crore)

	As at December 31, 2025				As at March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Category of assets								
Corporate bonds	2,108	-	-	2,108	2,023	-	-	2,023
Equity instruments	357	-	-	357	267	-	-	267
Government bonds and securities	3,330	-	-	3,330	3,559	-	-	3,559
Insurer managed funds	1,982	1	-	1,983	1,871	1	-	1,872
Bank balances	2	-	-	2	4	-	-	4
Others	180	-	-	180	157	-	-	157
	7,959	**1**	**-**	**7,960**	**7,881**	**1**	**-**	**7,882**

Net periodic gratuity cost, included in employee cost consists of the following components:

(₹ crore)

	Nine months ended December 31, 2025				Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Service cost	439	-	5	444	532	-	4	536
Net interest on defined benefit (assets) / obligations	(84)	-	1	(83)	(135)	-	2	(133)
Past service cost / (credit)	1,816	-	-	1,816	-	-	-	-
Net periodic gratuity cost	**2,171**	**-**	**6**	**2,177**	**397**	**-**	**6**	**403**
Actual return on plan assets	**418**	**-**	**-**	**418**	**668**	**-**	**-**	**668**

Remeasurement of the net defined benefit (assets) / obligations:

(₹ crore)

	Nine months ended December 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	-	-	-	-
Actuarial (gains) / losses arising from changes in financial assumptions	-	-	-	-
Actuarial (gains) / losses arising from changes in experience adjustments	(71)	-	4	(67)
Remeasurement of the defined benefit obligations	**(71)**	**-**	**4**	**(67)**
Remeasurement - return on plan assets excluding amount included in interest income	(29)	-	-	(29)
	(100)	**-**	**4**	**(96)**

(₹ crore)

	Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	12	-	-	12
Actuarial (gains) / losses arising from changes in financial assumptions	221	-	-	221
Actuarial (gains) / losses arising from changes in experience adjustments	85	-	3	88
Remeasurement of the defined benefit obligations	**318**	**-**	**3**	**321**
Remeasurement - return on plan assets excluding amount included in interest income	(141)	-	-	(141)
	177	**-**	**3**	**180**

The assumptions used in accounting for the defined benefit plan are set out below:

	As at December 31, 2025		As at March 31, 2025	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	6.50%	3.30%-4.50%	6.50%	3.30%-4.50%
Rate of increase in compensation levels of covered employees	6.00%	2.56%-3.87%	6.00%	2.56%-3.87%
Rate of return on plan assets	6.50%	3.30%-4.50%	6.50%	3.30%-4.50%
Weighted average duration of defined benefit obligations	6 Years	3-6 Years	6 Years	3-6 Years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure the Company's defined benefit plan obligations as at December 31, 2025. The Company does not expect to contribute to defined benefit plan obligations funds for period ending December 31, 2026 in view of adequate surplus plan assets as at December 31, 2025.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Increase of 0.50%	(192)	(155)
Decrease of 0.50%	203	163

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Increase of 0.50%	172	163
Decrease of 0.50%	(168)	(156)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligations recognised in the balance sheet.

Each year an Asset - Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after the period ended December 31, 2025 as follows:

	(₹ crore)
Period ending December 31,	**Defined benefit obligations**
2026	1,147
2027	1,087
2028	1,032
2029	940
2030	861
2031-2035	3,259

Provident fund

In accordance with Indian law, all eligible employees of the Company in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to the Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in statement of profit and loss under employee benefit expenses. As per the latest actuarial valuation report of provident fund liabilities on the basis of guidance issued by Actuarial Society of India under the deterministic approach, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund. The principal assumptions used in the latest valuation report for determining the present value obligations of interest guarantee are discount rate: 6.50%, average remaining tenure of investment portfolio: 6 years and guaranteed rate of return are: 8.25%.

The Company expensed ₹414 crore and ₹447 crore for three months ended December 31, 2025 and 2024, respectively, towards provident fund.

The Company expensed ₹1,258 crore and ₹1,322 crore for nine months ended December 31, 2025 and 2024, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Company makes monthly contributions until retirement or resignation of the employee. The Company recognises such contributions as an expense when incurred. The Company has no further obligation beyond its monthly contribution.

The Company expensed ₹66 crore and ₹72 crore for three months ended December 31, 2025 and 2024, respectively, towards Employees' Superannuation Fund.

The Company expensed ₹205 crore and ₹219 crore for nine months ended December 31, 2025 and 2024, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plan

The Company expensed ₹387 crore and ₹361 crore for three months ended December 31, 2025 and 2024, respectively, towards foreign defined contribution plans.

The Company expensed ₹1,160 crore and ₹1,096 crore for nine months ended December 31, 2025 and 2024, respectively, towards foreign defined contribution plans.

12) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Company are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for expected credit losses and doubtful advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Raw materials, sub-assemblies and components consumed	10	17	24	33
Equipment and software licences purchased	951	3,449	2,336	8,670
	961	**3,466**	**2,360**	**8,703**
Finished goods and work-in-progress				
Opening stock	2	1	1	-*
Less: Closing stock	3	4	3	4
	(1)	**(3)**	**(2)**	**(4)**
	960	**3,463**	**2,358**	**8,699**

*Represents value less than ₹0.50 crore.

(b) Other expenses

Other expenses consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Fees to external consultants	5,651	4,910	16,093	14,646
Facility expenses	755	695	2,211	2,062
Travel expenses	624	585	1,912	1,906
Communication expenses	502	405	1,331	1,166
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	32	25	103	75
Other expenses	3,507	2,460	9,247	8,218
	11,071	**9,080**	**30,897**	**28,073**

Other expenses include ₹1,562 crore and ₹1,029 crore for three months ended December 31, 2025 and 2024, respectively, towards sales, marketing and advertisement expenses and ₹1,075 crore and ₹860 crore for three months ended December 31, 2025 and 2024, respectively, towards project expenses.

Other expenses include ₹4,113 crore and ₹3,629 crore for nine months ended December 31, 2025 and 2024, respectively, towards sales, marketing and advertisement expenses and ₹2,755 crore and ₹2,263 crore for nine months ended December 31, 2025 and 2024, respectively, towards project expenses.

The Company made a contribution to an electoral trust of NIL and ₹218 crore for nine months ended December 31, 2025 and 2024, respectively, which is included in other expenses.

13) Finance costs

Finance costs consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Interest on lease liabilities	167	143	506	413
Interest on tax matters	-	-	5	(2)
Other interest costs	345	68	375	91
	512	**211**	**886**	**502**

14) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company in India and in its branches in overseas where it operates.

The Company has recognised income tax expenses applying the provisions under section 115BAA of the Income-tax Act, 1961.

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

The Organisation for Economic Co-operation and Development (OECD) has published the model rules for global minimum tax (Pillar Two model rules). Pillar Two legislation has been enacted, or substantively enacted, in certain jurisdictions where the Company operates. The Company is within the scope of the OECD Pillar Two model rules and has evaluated the potential exposure to global minimum tax. The Company does not expect any material financial impact for the current period. The evaluation of the potential exposure is based on the most recent country-by-country reporting, and financial statements for the constituent entities in the Company.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination, affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

The income tax expense consists of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Current tax				
Current tax expense for current period	3,445	4,035	11,560	11,997
Current tax benefit pertaining to prior periods	(542)	(397)	(1,560)	(948)
	2,903	**3,638**	**10,000**	**11,049**
Deferred tax				
Deferred tax expense / (benefit) for current period	(181)	39	(228)	(14)
	(181)	**39**	**(228)**	**(14)**
	2,722	**3,677**	**9,772**	**11,035**

The reconciliation of estimated income tax expense at Indian statutory income tax rate to income tax expense reported in standalone interim statement of profit and loss is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Profit before taxes	12,912	15,509	44,342	47,976
Indian statutory income tax rate	25.17%	25.17%	25.17%	25.17%
Expected income tax expense	3,250	3,906	11,160	12,075
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense				
Income exempt from tax	(281)	(266)	(819)	(1,303)
Undistributed earnings in branches	37	35	93	82
Tax on income at different rates	238	279	823	897
Tax pertaining to prior periods	(542)	(397)	(1,560)	(948)
Others (net)	20	120	75	232
Total income tax expense	**2,722**	**3,677**	**9,772**	**11,035**

Significant components of net deferred tax assets and liabilities for nine months ended December 31, 2025 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	**989**	195	-	**1,184**
Provision for employee benefit obligations	**939**	140	-	**1,079**
Cash flow hedges	**6**	-	5	**11**
Receivables, financial assets at amortised cost	**419**	18	-	**437**
Branch profit tax	**(166)**	(93)	-	**(259)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(267)**	-	78	**(189)**
Lease liabilities and right-of-use assets	**210**	3	-	**213**
Others	**326**	(35)	-	**291**
	2,456	**228**	**83**	**2,767**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at December 31, 2025	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	1,212	28	1,184
Provision for employee benefit obligations	1,079	-	1,079
Cash flow hedges	11	-	11
Receivables, financial assets at amortised cost	437	-	437
Branch profit tax	-	259	(259)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(189)	-	(189)
Lease liabilities	1,811	-	1,811
Right-of-use assets	(1,598)	-	(1,598)
Others	292	1	291
	3,055	**288**	**2,767**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2025 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	**661**	328	-	**989**
Provision for employee benefit obligations	**872**	67	-	**939**
Cash flow hedges	**4**	-	2	**6**
Receivables, financial assets at amortised cost	**395**	24	-	**419**
Branch profit tax	**(100)**	(66)	-	**(166)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(119)**	-	(148)	**(267)**
Lease liabilities and right-of-use assets	**199**	11	-	**210**
Others	**458**	(132)	-	**326**
	2,370	**232**	**(146)**	**2,456**

Gross deferred tax assets and liabilities are as follows:

			(₹ crore)
As at March 31, 2025	**Assets**	**Liabilities**	**Net**
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	1,025	36	989
Provision for employee benefit obligations	939	-	939
Cash flow hedges	6	-	6
Receivables, financial assets at amortised cost	419	-	419
Branch profit tax	-	166	(166)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(267)	-	(267)
Lease liabilities	1,558	-	1,558
Right-of-use assets	(1,348)	-	(1,348)
Others	326	-	326
	2,658	**202**	**2,456**

Direct tax contingencies

The Company has ongoing disputes with income tax authorities in India and in some of the other jurisdictions where it operates. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. Contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions is ₹579 crore and ₹1,012 crore as at December 31, 2025 and March 31, 2025, respectively. These demand orders are being contested by the Company based on the management evaluation and advise of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at December 31, 2025 and March 31, 2025, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Company periodically receives notices and inquiries from income tax authorities related to the Company's operations in the jurisdictions it operates in. The Company has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2023 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2021 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2019 and earlier.

15) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Profit for the period (₹ crore)	10,190	11,832	34,570	36,941
Weighted average number of equity shares	361,80,87,518	361,80,87,518	361,80,87,518	361,80,87,518
Basic and diluted earnings per share (₹)	28.16	32.71	95.55	102.11
Face value per equity share (₹)	1	1	1	1

16) Segment information

The Company publishes the standalone interim financial statements of the Company along with the consolidated interim financial statements. In accordance with Ind AS 108 - Operating Segments, the Company has disclosed the segment information in the consolidated interim financial statements.

17) Commitments and contingencies

Capital commitments

The Company has contractually committed (net of advances) ₹2,699 crore and ₹2,438 crore as at December 31, 2025 and March 31, 2025, respectively, for purchase of property, plant and equipment.

Contingencies

- **Direct tax matters**

  Refer note 14.

- **Indirect tax matters**

  The Company has ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company has demands amounting to ₹643 crore and ₹626 crore as at December 31, 2025 and March 31, 2025, respectively, from various indirect tax authorities which are being contested by the Company based on the management evaluation and advice of tax consultants.

- **Other claims**

  - Claims aggregating ₹119 crore and ₹120 crore as at December 31, 2025 and March 31, 2025, respectively, against the Company have not been acknowledged as debts.

  - In April 2019, Computer Sciences Corporation (referred to as CSC) filed a legal claim against the Company in the Court of Northern District of Texas and Dallas Division (trial court) alleging misappropriation of trade secrets and other CSC's confidential information and sought preliminary and permanent injunctive relief, and unspecified monetary damages and disgorgement of profits.

    A trial before an advisory jury was held and on November 17, 2023, the jury returned an advisory verdict in favour of CSC, finding that the Company misappropriated CSC's trade secrets and recommended compensation of US $70 million (equivalent to ₹629 crore) and a further punitive damage of US $140 million (equivalent to ₹1,259 crore) to be paid by the Company to CSC. Subsequently, the parties filed their respective written submissions in the matter. On June 13, 2024, the trial court passed a judgement as follows:

    1. The Court ordered that the Company is liable to CSC for US $56 million (equivalent to ₹505 crore) in compensatory damages and US $112 million (equivalent to ₹1,010 crore) in exemplary damages.
    2. The Court also assessed that the Company is liable for US $26 million (equivalent to ₹232 crore) in prejudgment interest through June 13, 2024.
    3. The Court also passed certain injunction and other reliefs against the Company.

    Pursuant to US Court procedures, a Letter of Credit has been made available to CSC for US $250 million (equivalent to ₹2,248 crore) as financial security in order to stay execution of the judgement pending appeal proceedings and conclusion.

    On November 21, 2025, the Fifth Circuit issued a decision affirming the District Court's rulings on liability but vacating the previously granted injunction and remanding to the district court to re-enter a narrower injunction. The Company filed a petition for rehearing en banc and a petition for panel rehearing in the appellate court on December 5, 2025, which was denied on December 19, 2025.

    The Company, based on consultation with the external lawyers and legal assessment, believes that it has a strong case and would defend its position vigorously and pursue legal remedies to overturn the decision of the Fifth Circuit.

    Considering all the facts and various legal precedence, on a conservative and prudent basis, the Company provided US $112 million (₹1,010 crore) towards this legal claim in the standalone interim statement of profit and loss for the period ended December 31, 2025 as "Provision towards legal claim" under "Exceptional items". In addition, the Company has also provided US $38 million (₹342 crore) towards pre and post judgement interest until expected date of settlement of this liability and disclosed it under "Other interest costs".

- **Guarantees and letter of comfort**

  The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

  The Company has provided guarantees to third parties on behalf of its subsidiaries. The Company does not expect any outflow of resources in respect of the above.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

18) Related party transactions

The Company's principal related parties consist of its holding company Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Company's material related party transactions and outstanding balances are with related parties with whom the Company routinely enters into transactions in the ordinary course of business.

List of subsidiaries of the Company as at December 31, 2025 is as follows:

Indian

APTOnline Limited

C-Edge Technologies Limited

MP Online Limited

TCS e-Serve International Limited

MahaOnline Limited

TCS Foundation

TRIL Bengaluru Real Estate Five Limited

TRIL Bengaluru Real Estate Six Limited

HyperVault AI Data Center Limited

Foreign

Tata America International Corporation
Tata Consultancy Services Canada Inc.
ListEngage Midco, LLC
ListEngage, LLC
TCS North America Corporation
Trident LE LLC
Tata Consultancy Services Argentina S.A.
Tata Consultancy Services Chile S.A.
Tata Consultancy Services De Mexico, S.A. De C.V.
Tata Consultancy Services Do Brasil Ltda.
TCS Iberoamerica S.A.
TCS Inversiones Chile Limitada
Tatasolution Center S.A.
MGDC S.C.
TCS Uruguay S.A.
Tata Consultancy Services Guatemala, S.A.
3-101-951221 S.A.
Tata Consultancy Services Belgium
Tata Consultancy Services De Espana S.A.
Tata Consultancy Services Deutschland GmbH
Tata Consultancy Services Italia S.R.L.
Tata Consultancy Services Netherlands B.V.
Tata Consultancy Services Sverige Aktiebolag
Tata Consultancy Services (Portugal), Unipessoal Lda
Diligenta Limited
Tata Consultancy Services Luxembourg S.A.
Tata Consultancy Services Switzerland Ltd
Tata Consultancy Services France
Tata Consultancy Services Saudi Arabia
Tata Consultancy Services UK Limited
TCS Business Services GmbH
Tata Consultancy Services Bulgaria EOOD
Tata Consultancy Services Ireland Limited
TCS Technology Solutions GmbH
Tata Consultancy Services Osterreich GmbH
Diligenta (Europe) B.V.
Tata Consultancy Services Asia Pacific Pte. Ltd.
Tata Consultancy Services Malaysia Sdn. Bhd.
TCS FNS Pty Limited
TCS Financial Solutions Australia Pty Ltd
Tata Consultancy Services Indonesia, PT
Tata Consultancy Services (China) Co., Ltd.
Tata Consultancy Services (Thailand) Limited
Tata Consultancy Services (Philippines) Inc.
Tata Consultancy Services Japan, Ltd.
Tata Consultancy Services BT Private Limited
Tata Consultancy Services (Africa) (Proprietary) Limited
Tata Consultancy Services (South Africa) (Proprietary) Limited
Tata Consultancy Services Qatar

Transactions with related parties are as follows:

(₹ crore)

	Three months ended December 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	16	7,855	261	1,120	-	9,252
Interest income	-	1	23	-	-	24
Dividend income	-	1,115	-	-	-	1,115
Rent income	-	11	-	-	-	11
Other income	-	11	-	-	-	11
Purchases of goods and services (including reimbursements)	1	5,232	236	73	-	5,542
Brand equity contribution	50	-	-	-	-	50
Facility expenses	-	17	-	18	-	35
Lease rental	-	-	14	15	-	29
Contribution and advance to post employment benefit plans	-	-	-	-	802	802
Procurement towards Property, plant and equipment	-	-	165	15	-	180
Loans and advances given	-	-	12	7	-	19
Loans and advances recovered	-	-	88	1	-	89
Dividend paid	2,855	-	1	-	-	2,856
Guarantees given	-	225	-	2	-	227
Inter-corporate deposits placed	-	11	-	-	-	11
Cost recovery	-	1,131	-	-	-	1,131
Transfer in of employee benefit obligations	-	1	-	-	-	1
Investment in a subsidiary (Refer note 6(a))	-	208	-	-	-	208

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone interim financial statements

(₹ crore)

	Nine months ended December 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	58	22,998	1,096	3,692	-	27,844
Interest income	-	2	57	-	-	59
Dividend income	-	3,256	-	-	-	3,256
Rent income	-	32	-	-	-	32
Other income	-	26	-	-	-	26
Purchases of goods and services (including reimbursements)	1	14,291	680	196	-	15,168
Brand equity contribution	151	-	-	-	-	151
Facility expenses	1	48	28	55	-	132
Lease rental	-	-	39	46	-	85
Contribution and advance to post employment benefit plans	-	-	-	-	2,318	2,318
Procurement towards Property, plant and equipment	-	-	363	18	-	381
Loans and advances given	-	-	21	11	-	32
Loans and advances recovered	-	-	137	2	-	139
Advances taken	-	5	-	-	-	5
Dividend paid	13,497	-	5	2	-	13,504
Guarantees given	-	225	-	2	-	227
Inter-corporate deposits placed	-	11	750	-	-	761
Cost recovery	-	3,235	-	-	-	3,235
Transfer out of employee benefit obligations	-	1	-	-	-	1
Transfer in of employee benefit obligations	-	2	-	-	-	2
Investment in a subsidiary (Refer note 6(a))	-	208	-	-	-	208

(₹ crore)

	Three months ended December 31, 2024					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	17	6,863	230	1,185	-	8,295
Dividend income	-	1,058	-	-	-	1,058
Rent income	-	9	-	-	-	9
Other income	-	9	-	-	-	9
Purchases of goods and services (including reimbursements)	-	4,215	2,459	43	-	6,717
Brand equity contribution	50	-	-	-	-	50
Facility expenses	-	13	1	18	-	32
Lease rental	-	-	12	15	-	27
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	-	-	3	(1)	-	2
Contribution and advance to post employment benefit plans	-	-	-	-	1,628	1,628
Procurement towards Property, plant and equipment	-	-	101	(6)	-	95
Loans and advances given	-	-	23	2	-	25
Loans and advances recovered	-	-	10	3	-	13
Advances taken	-	11	-	-	-	11
Dividend paid	2,595	-	1	-	-	2,596
Guarantees given	-	-	-	1	-	1
Cost recovery	-	969	-	-	-	969

(₹ crore)

	Nine months ended December 31, 2024					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	50	20,805	1,018	3,881	-	25,754
Dividend income	-	5,174	-	-	-	5,174
Rent income	-	28	-	-	-	28
Other income	-	29	-	-	-	29
Purchases of goods and services (including reimbursements)	1	13,248	6,401	152	-	19,802
Brand equity contribution	151	-	-	-	-	151
Facility expenses	1	49	4	58	-	112
Lease rental	-	-	36	45	-	81
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	-	-	2	(2)	-	-
Contribution and advance to post employment benefit plans	-	-	-	-	3,780	3,780
Procurement towards Property, plant and equipment	-	-	361	16	-	377
Loans and advances given	-	-	577	30	-	607
Loans and advances recovered	-	-	28	5	-	33
Advances taken	-	47	-	-	-	47
Dividend paid	12,458	-	5	1	-	12,464
Guarantees given	-	-	-	1	-	1
Cost recovery	-	3,186	-	-	-	3,186
Transfer out of employee benefit obligations	-	1	-	-	-	1
Transfer in of employee benefit obligations	-	1	-	-	-	1

Balances receivable from related parties are as follows:

(₹ crore)

	As at December 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	20	9,998	320	1,256	-	11,594
Investments, loans, other financial assets and other assets	2	342	3,000	44	-	3,388
	22	**10,340**	**3,320**	**1,300**	**-**	**14,982**

(₹ crore)

	As at March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	17	8,221	247	1,461	-	9,946
Investments, loans, other financial assets and other assets	2	287	2,226	35	-	2,550
	19	**8,508**	**2,473**	**1,496**	**-**	**12,496**

Balances payable to related parties are as follows:

(₹ crore)

	As at December 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	151	7,383	4,433	259	22	12,248
Commitments and guarantees	-	3,219	794	54	-	4,067

(₹ crore)

	As at March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	184	6,851	5,257	286	-	12,578
Commitments and guarantees	-	3,026	1,012	52	-	4,090

Material related party transactions are as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Revenue from operations				
Tata Consultancy Services Deutschland GmbH	1,035	904	3,033	2,718
Tata Consultancy Services Netherlands B.V.	966	868	3,032	2,878
Tata Consultancy Services Canada Inc.	1,099	926	3,216	2,779
Jaguar Land Rover Limited	855	898	2,582	2,780
Purchases of goods and services (including reimbursements) and net of cost recovery				
Tata America International Corporation	1,382	886	3,506	2,966
Tata Consultancy Services De Mexico, S.A. De C.V.	942	894	2,763	2,635
Tata Consultancy Services Canada Inc.	614	584	1,760	1,695
Tejas Networks Limited	14	2,314	26	5,997
Dividend income				
Tata America International Corporation	359	255	972	1,632
TCS Iberoamerica S.A.	38	229	470	619
Tata Consultancy Services Canada Inc.	267	396	795	1,031
TCS e-Serve International Limited	275	-	-	-
Tata Consultancy Services Ireland Limited	103	168	202	168
Advances given				
Tejas Networks Limited	-	-	-	500
Contribution and advance to post employment benefit plans				
Tata Consultancy Services Employees' Provident Fund	736	1,627	2,123	3,768
Inter-corporate deposits placed				
Tata Capital Housing Finance Limited	-	-	500	-
Procurement towards Property, plant and equipment				
Tata Projects Limited	161	-	-	-
Investment in a subsidiary				
HyperVault AI Data Center Limited	208	-	-	-
Guarantees given				
ListEngage Midco, LLC	225	-	-	-

Material related party balances are as follows:

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Trade receivables and contract assets		
Tata America International Corporation	1,922	1,459
Tata Consultancy Services France	1,251	946
Jaguar Land Rover Limited	833	1,028
Investments, loans, other financial assets and other assets		
Tejas Networks Limited	1,432	1,460
Tata Capital Limited	781	498
Tata Capital Housing Finance Limited	518	-
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tata America International Corporation	2,133	1,780
Tata Consultancy Services Canada Inc.	1,542	1,478
Tejas Networks Limited	4,057	4,317
Tata Realty and Infrastructure Limited	3	557
Commitments and guarantees		
Tata Projects Limited	718	946
Diligenta Limited	2,994	3,026

Transactions with key management personnel are as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Short-term benefits	2	1	6	11
Dividend paid during the period	-*	-	-*	1
Post-employment benefits	-*	-	-*	1
	2	**1**	**6**	**13**

*Represents value less than ₹0.50 crore.

The remuneration of directors and key executives is determined by the nomination and remuneration committee having regard to the performance of individuals and market trends.

19) In July 2025, the Company announced re-structuring initiatives. As a part of this initiative, the Company released / will release certain associates from the organisation whose deployment may not be feasible. Termination benefits have been provided as per policy devised for this purpose. Such termination benefits, due to their size, nature or occurrence are disclosed as "Re-structuring expenses" under "Exceptional items" in the standalone interim financial statements.

20) On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. The Company has assessed and disclosed the incremental impact of these changes on the basis of legal opinion obtained and the best information available, consistent with the guidance provided by the Institute of Chartered Accountants of India. Considering the materiality and regulatory-driven, non-recurring nature of this impact, the Company has presented such incremental impact as "Statutory impact of new Labour Codes" under "Exceptional items" in the standalone interim statement of profit and loss for the period ended December 31, 2025. The incremental impact consisting of gratuity of ₹1,816 crore and long-term compensated absences of ₹312 crore primarily arises due to change in wage definition. The Company continues to monitor the finalisation of Central / State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as needed.

21) Dividends

Dividends paid during nine months ended December 31, 2025 include an amount of ₹30.00 per equity share towards final dividend for the year ended March 31, 2025 and an amount of ₹22.00 per equity share towards interim dividends for nine months ended December 31, 2025. Dividends paid during the year ended March 31, 2025 include an amount of ₹28.00 per equity share towards final dividend for the year ended March 31, 2024 and an amount of ₹96.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2025.

The Board of Directors at its meeting held on January 12, 2026, has declared an interim dividend of ₹11.00 per equity share and special dividend of ₹46.00 per equity share.

NOTES FORMING PART OF STANDALONE INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director - President and COO
DIN: 07121802

Samir Seksaria
CFO

Mumbai, January 12, 2026

Yashaswin Sheth
Company Secretary